

Stylized Facts on Multinational Firms and Trade

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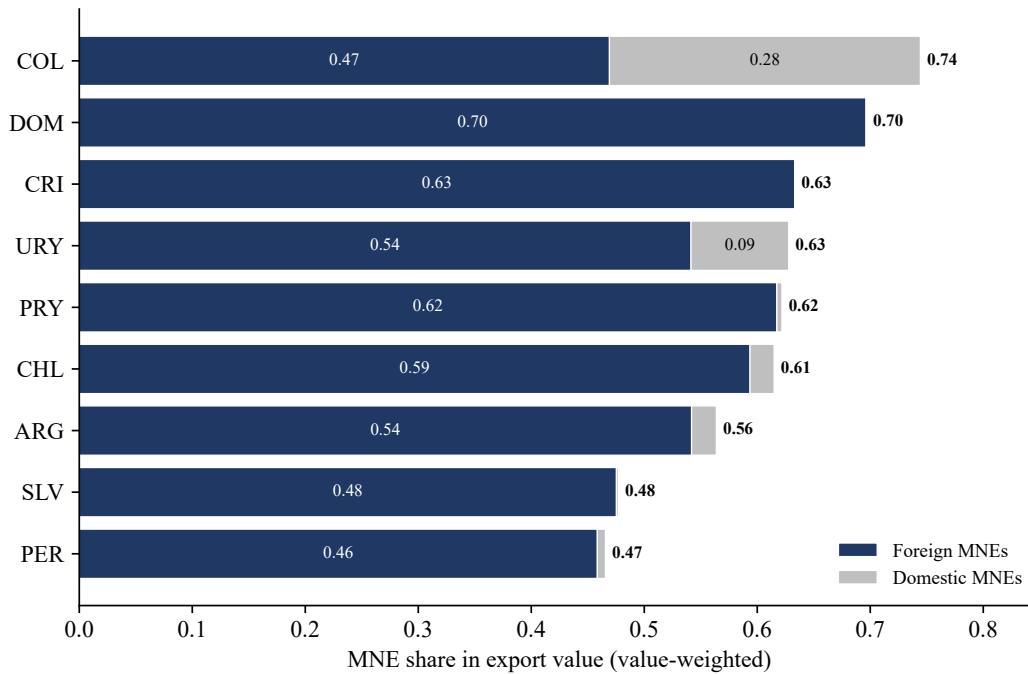
Stylized Facts

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1. Multinational corporations account for a large share of export values across countries

Figure 1 reports, for each Latin American origin in our sample, the share of total export value accounted for by multinational enterprises (MNEs), decomposed into foreign- and domestically-owned multinationals. Two features stand out. First, multinationals intermediate a substantial fraction of export value in every origin, so that the export performance of these economies is disproportionately concentrated in multinational firms. Second, this presence is overwhelmingly foreign-owned: firms whose ultimate parent lies abroad dominate the multinational footprint in each country, while domestically-headquartered multinationals contribute comparatively little. Although the overall level of multinational participation varies across origins, the predominance of foreign over domestic ownership is a uniform feature of the region.

Figure 1: MNE share of export value by origin country: foreign vs domestic.



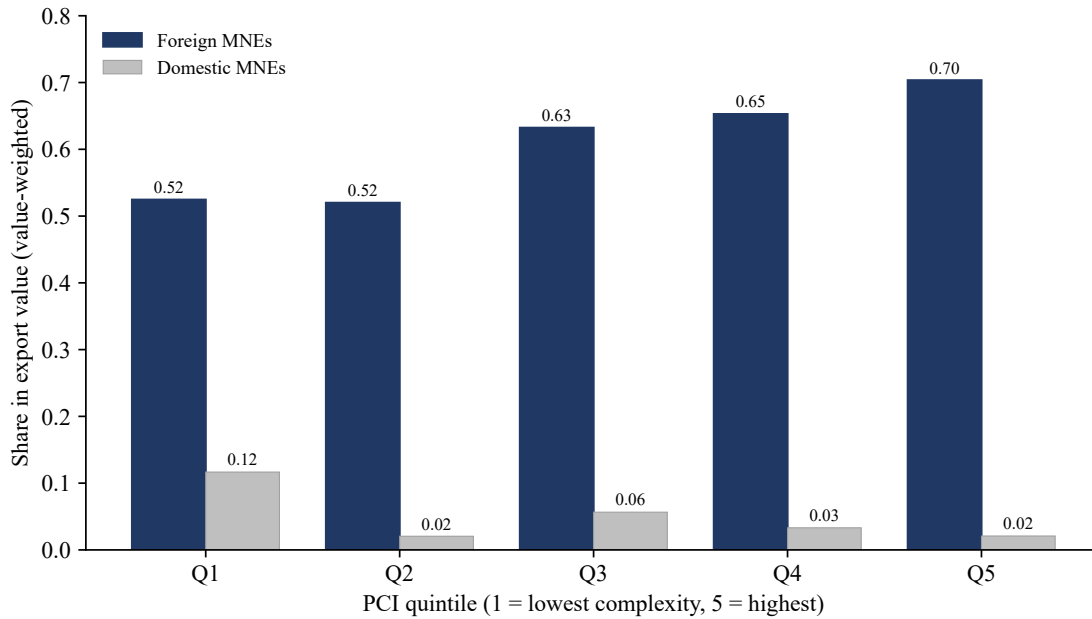
Notes: Value-weighted; pooled 2006–2022; nine LAC origins. Foreign MNEs have a parent country different from the exporting country; domestic MNEs have a parent in the exporting country. Bar length is the total MNE share.

The pattern is systematic rather than driven by particular economies or years. Appendix Table A.3 relates the origin-level multinational value share to log GDP per capita in an origin-year panel: the elasticity is positive and significant for the total and foreign-MNE shares and statistically indistinguishable from zero for the domestic share, and it is robust to year fixed effects and a population control. Richer economies thus attract a larger foreign-MNE export presence, whereas domestic multinational activity bears no systematic relationship to the level of development.

2. Foreign multinationals specialize in complex products, domestic ones in primary goods

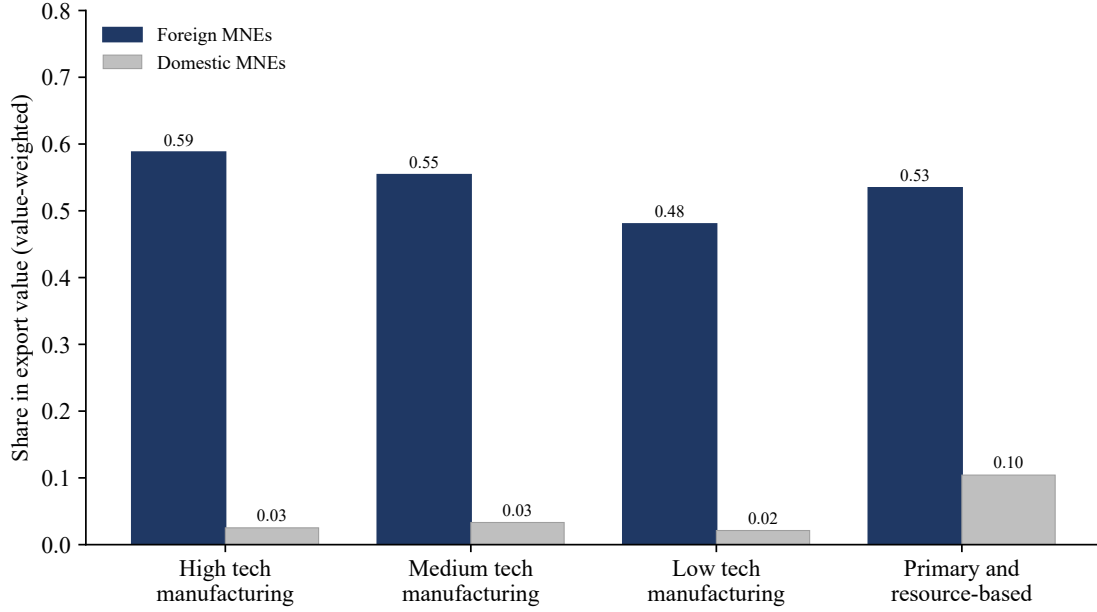
Figures 2 and 3 sort exported products by two complementary measures of sophistication — the Hausmann–Hidalgo Product Complexity Index, in quintiles, and the Lall (2000) technology classification — and plot the foreign and domestic multinational shares of export value within each cell. A sharp specialization emerges. The foreign-MNE share rises with product complexity, reaching its maximum in the most complex quintile, and is largest in high- and medium-technology manufactures. Domestic multinationals display the mirror-image pattern, with their participation concentrated in primary and resource-based goods.

Figure 2: MNE share of export value by Product Complexity Index quintile.



Notes: Value-weighted at the HS6 level; pooled 2006–2022. Quintiles of the Hausmann–Hidalgo Product Complexity Index (Q1 = least complex). Bars show the foreign and domestic MNE shares of export value.

Figure 3: MNE share of export value by technology category.



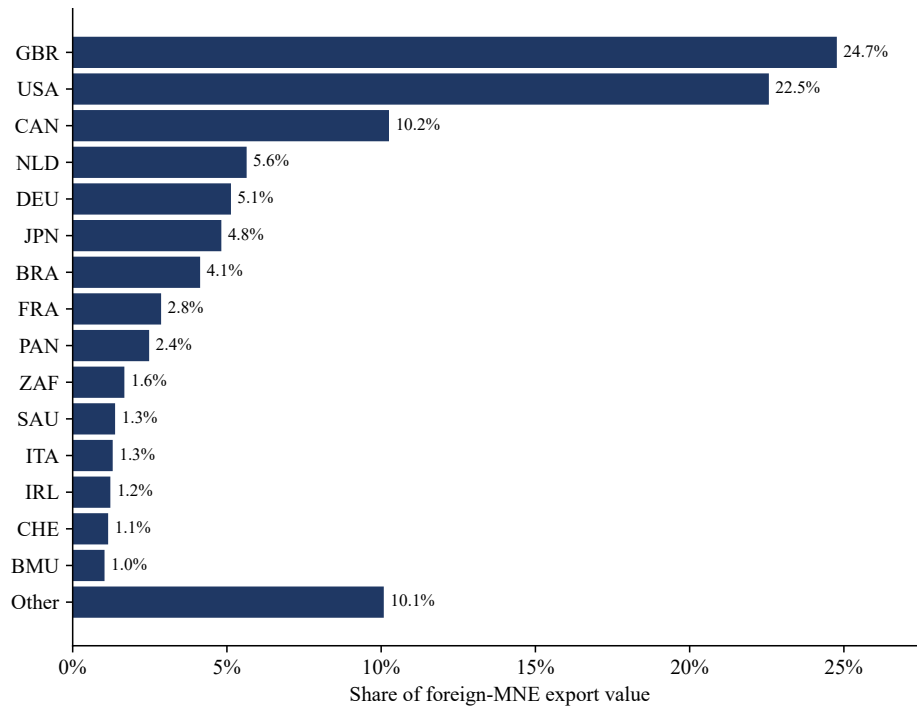
Notes: Value-weighted at the HS6 level; pooled 2006–2022. Lall (2000) technology classification, four categories. Bars show the foreign and domestic MNE shares of export value.

Appendix Tables A.4 and A.5 confirm the gradient at the origin-destination-product-year level. The foreign-MNE value share increases with the Product Complexity Index while the domestic share decreases with it, and the foreign share is highest in high- and medium-technology manufacturing relative to the low-technology base, whereas the domestic share is concentrated in primary and resource-based goods. These findings are stable across an increasingly saturated fixed-effects ladder — up to origin-destination-year fixed effects — so the sorting is not due to a composition effect.

3. Multinational corporations from a small set of countries dominate exports

Figure 4 ranks the home (parent) countries of foreign multinationals by their share of foreign-MNE export value, displaying the fifteen largest and collapsing the remainder into an “Other” category. The home-country distribution is highly concentrated: a small group of advanced economies accounts for the majority of foreign-MNE export value, while the long tail of remaining origins contributes marginally. The export transactions generated by foreign affiliates in Latin America thus inherit the well-documented concentration of outward foreign direct investment among a handful of capital-exporting economies.

Figure 4: Foreign-MNE export value by parent (home) country: top 15 plus “Other”.

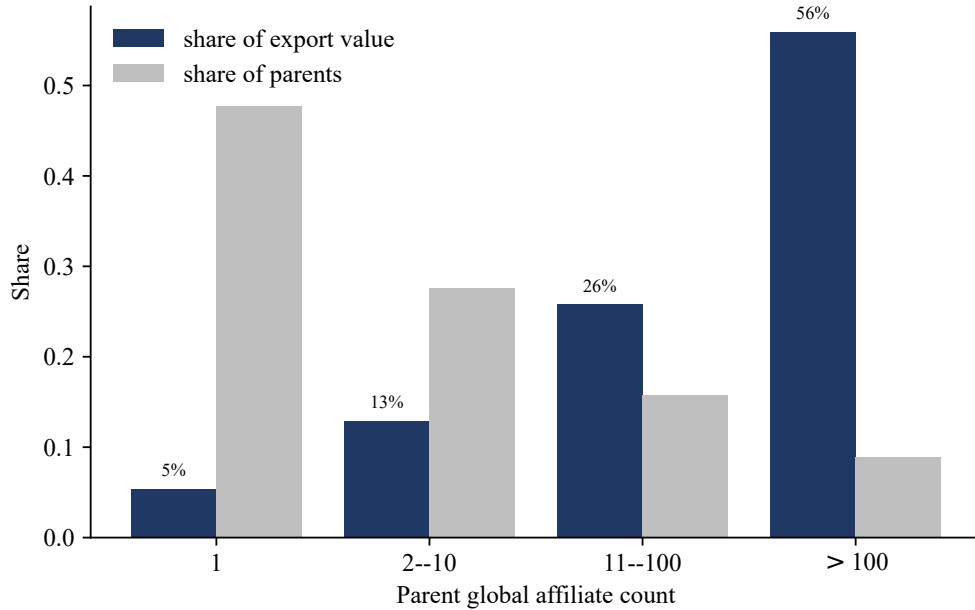


Notes: Value-weighted; pooled 2006–2022; nine LAC origins. Sample is foreign MNEs (parent country $\neq$ exporting country) with a recorded parent country; foreign MNEs with no recorded parent ($\approx$ half of foreign-MNE export value) are excluded. Parents shown as ISO3 codes; the remaining origins are pooled into “Other”.

4. A small set of large multinational groups accounts for the bulk of exports

Figure 5 groups foreign-multinational parents by the size of their global affiliate network and plots each group's share of foreign-MNE export value against its share of parents. Exports are overwhelmingly concentrated in the largest groups: parents with more than one hundred affiliates worldwide are only 9% of parents but account for 56% of foreign-MNE export value, whereas single-affiliate parents — nearly half of all parents — contribute barely 5%. Export activity is dominated by a small set of large, globally-networked multinational groups.

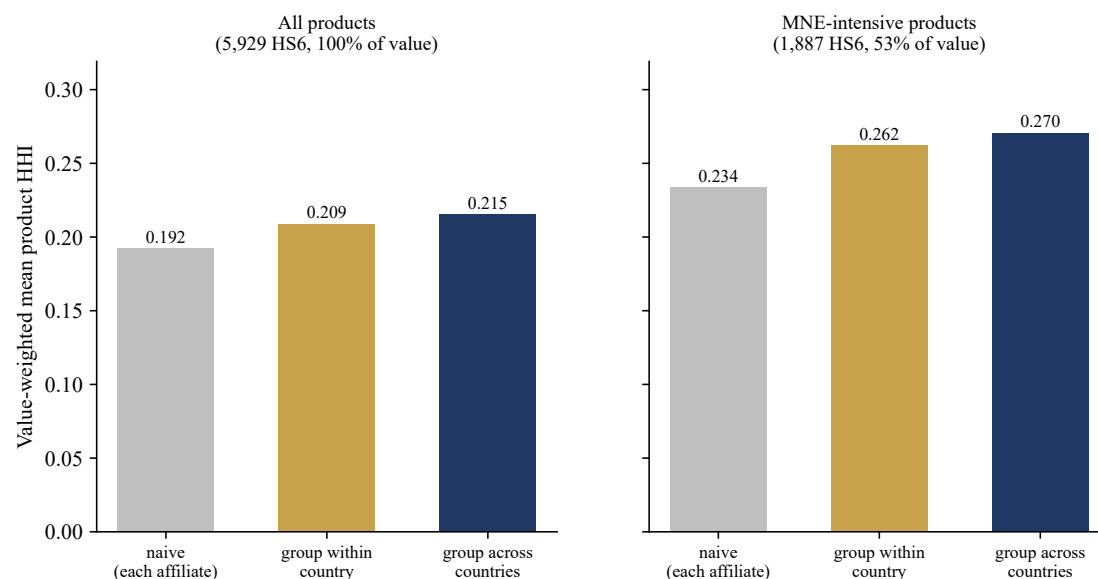
Figure 5: Foreign-MNE export value and parent counts by global affiliate-network size.



Notes: Value-weighted; pooled 2006–2022; nine LAC origins. Foreign-MNE parents with a matched global-network record. Network size is the number of distinct worldwide affiliates (ORBIS $\cup$ D&B); the parent group is the combined ORBIS/D&B global-ultimate name.

Because one group typically exports through several nominally-separate local affiliates — within a country and across countries — product markets are more concentrated than a firm-by-firm count implies. Figure 6 recomputes product-level export concentration, first treating each exporting affiliate as a distinct firm and then grouping affiliates by their global parent. Grouping raises the value-weighted mean product Herfindahl index and the leading exporter's share — modestly on average and more where multinationals dominate the product, for which the effective number of exporters falls and the top group's share rises (from 36% to 40%).

Figure 6: Product-level export concentration: naive firm count vs. grouping affiliates by parent.



Notes: Value-weighted mean Herfindahl index across HS6 products (LAC exports, Ecuador excluded). “Naive” counts each exporting affiliate (Tax ID) as a separate firm; the next bars group affiliates of the same global parent within a country and then across countries. MNE-intensive products are those where multinationals account for at least half of the product’s exports.

Appendix Table A.6 confirms the network gradient in a parent-level regression: the elasticity of export value with respect to affiliate count is large (0.4–0.5) and highly significant, robust to headquarters-country fixed effects, with the breadth of country presence adding further explanatory power. The concentration result is pervasive — grouping raises measured product concentration for the large majority of products by value.

5. Greater multinational presence is associated with higher trade volumes

Table 1 relates log export value at the origin-destination-product-year level to two measures of multinational presence: an extensive-margin indicator for the presence of any multinational and an intensive-margin count of the number of multinational firms, in logs. Both margins enter strongly positive throughout the fixed-effects ladder. Markets in which multinationals are active, and markets served by more multinationals, record substantially higher export volumes; the relationship remains large and precisely estimated under origin-destination-product and origin-destination-year fixed effects, which absorb market- and time-specific confounders and identify the association from within-market variation.

Table 1: Multinational presence and trade volume (intensive and extensive margins), origin-destination-product-year.

	Intensive: ln(# MNE firms)			Extensive: any MNE present		
	(1)	(2)	(3)	(1)	(2)	(3)
<i>Panel A: all exports (ln)</i>						
ln(# MNE firms)	2.0823*** (0.0363)	2.0685*** (0.0368)	0.9414*** (0.0206)			
Any MNE present				1.4622*** (0.0394)	1.4591*** (0.0388)	0.6818*** (0.0165)
<i>Panel B: non-MNE exports (ln)</i>						
ln(# MNE firms)	1.3522*** (0.0317)	1.3393*** (0.0319)	0.2391*** (0.0178)			
Any MNE present				1.4129*** (0.0370)	1.3958*** (0.0366)	0.1306*** (0.0102)
Origin FE	✓			✓		
Destination FE	✓			✓		
Product FE	✓	✓		✓	✓	
Year FE	✓			✓		
Origin × year FE		✓			✓	
Destination × year FE		✓			✓	
Origin × dest. × product FE			✓			✓
Origin × dest. × year FE			✓			✓
Observations (all exports)	1,008,472	1,008,185	883,545	1,829,852	1,829,626	1,633,319
Observations (non-MNE exports)	475,856	475,514	429,882	1,297,322	1,297,111	1,137,550
Origin-destination-product-year cells; dep. var. ln exports. Intensive margin: ln number of MNE firms (cells with ≥ 1 MNE); extensive margin: indicator for any MNE present. Cluster OD. SE clustered as noted. *** p<0.01, ** p<0.05, * p<0.1						

Panel B restricts the dependent variable to the exports of non-multinational firms alone. The positive relationship survives, indicating that the link between multinational presence and trade volumes is not the mechanical accounting contribution of multinationals' own shipments: domestic firms export more, not less, in markets where multinationals are present. Appendix Table A.7 measures presence instead by the multinational value share, reaching the same conclusion.

6. Distance is a weaker barrier to trade for multinational corporations

Table 2 estimates a firm-level gravity relationship, regressing log exports on log distance and its interaction with multinational status and with whether the multinational is already present at the destination country through an affiliate. Distance depresses exports for ordinary firms, but its effect is markedly attenuated for multinationals: the interaction of log distance with multinational status is positive, offsetting a sizeable portion of the baseline distance elasticity. The attenuation is largest for multinationals that already operate in the destination market through an affiliate, for which the trade-dampening effect of distance is smallest.

Table 2: Distance and firm exports: multinationals split by presence at the destination.

Dep. var.: ln exports	(1)	(2)	(3)	(4)
ln distance	-0.1639*** (0.0454)	-0.1848*** (0.0460)	-0.1635*** (0.0452)	-0.1842*** (0.0459)
ln distance $\times$ MNE	0.0461*** (0.0038)	0.0458*** (0.0038)		
ln distance $\times$ MNE, present			0.0673*** (0.0063)	0.0664*** (0.0063)
ln distance $\times$ MNE, not present			0.0405*** (0.0036)	0.0404*** (0.0036)
Origin FE	✓		✓	
Destination FE	✓		✓	
Year FE	✓		✓	
Origin $\times$ year FE		✓		✓
Destination $\times$ year FE		✓		✓
Product FE	✓	✓	✓	✓
Observations	5,081,547	5,081,360	5,081,547	5,081,360
Distance and firm exports; multinationals split by presence at the destination. Firm $\times$ origin $\times$ destination $\times$ product $\times$ year; non-MNE flows the omitted base. Fixed effects as indicated (✓). SE clustered at origin-destination. *** p<0.01, ** p<0.05, * p<0.1				

The attenuation is a general feature of multinational corporations rather than a property of one type. Appendix Table A.8 shows that both foreign and domestic multinationals exhibit a weaker distance gradient — finding, if anything, a slightly stronger attenuation for domestic multinationals — and that within each group the firms already present at the destination are the least deterred by distance. Appendix Table A.9 further splits foreign presence into presence through headquarters versus through another affiliate and finds very similar attenuation for both, so the result is not driven by a single mode of local presence.

A. Appendix

Table A.3: Stylized Fact 1. Origin-year panel: MNE value share on log GDP per capita, one panel per MNE definition. Robust SE. Year-FE columns drop singleton origin-years.

Dep. var. = MNE share	(1) OLS	(2) + ln pop	(3) Year FE	(4) Year FE + pop
<i>Panel A: MNE_{total}</i>				
ln GDPpc _o	0.054*** (0.013)	0.054*** (0.013)	0.039** (0.015)	0.040** (0.015)
<i>Panel B: MNE_{ext}</i>				
ln GDPpc _o	0.043*** (0.011)	0.045*** (0.013)	0.033*** (0.012)	0.031** (0.015)
<i>Panel C: MNE_{dom}</i>				
ln GDPpc _o	0.011 (0.009)	0.008 (0.012)	0.007 (0.013)	0.009 (0.014)
Year FE			✓	✓
Pop control		✓		✓
Observations	95	95	91	91

Notes. Country-year panel (origin $\times$ year, 2006–2022). Observations identical across panels. Robust SE in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table A.4: Stylized Fact 2. ODPY cell-level regressions of the MNE value share on the Product Complexity Index and upstreamness. Panels are the three MNE definitions; columns add an increasingly saturated fixed-effects ladder. Weighted by total trade value.

	(1)	(2)	(3)
<i>Panel A: MNE_{total} share</i>			
Complexity (PCI)	0.0029 (0.0049)	0.0055 (0.0044)	0.0101** (0.0043)
Upstreamness	-0.0026 (0.0044)	-0.0015 (0.0042)	0.0014 (0.0040)
<i>Panel B: MNE_{ext} share</i>			
Complexity (PCI)	0.0457*** (0.0055)	0.0452*** (0.0051)	0.0337*** (0.0052)
Upstreamness	0.0011 (0.0046)	0.0006 (0.0042)	-0.0007 (0.0041)
<i>Panel C: MNE_{dom} share</i>			
Complexity (PCI)	-0.0428*** (0.0052)	-0.0397*** (0.0042)	-0.0236*** (0.0034)
Upstreamness	-0.0037 (0.0028)	-0.0021 (0.0024)	0.0022 (0.0014)
Origin FE	✓		
Destination FE	✓		
Year FE	✓		
Origin × year FE		✓	
Destination × year FE		✓	
Origin × dest. × year FE			✓
Observations	1,654,962	1,654,702	1,653,103
*** p<0.01, ** p<0.05, * p<0.1			

Table A.5: Stylized Fact 2. ODPY cell-level regressions of the MNE value share on technology-category dummies (base category: low-tech manufacturing). Panels are the three MNE definitions; columns add an increasingly saturated fixed-effects ladder. Weighted by total trade value.

	(1)	(2)	(3)
<i>Panel A: MNE_{total} share</i>			
High tech manufacturing	0.0711*** (0.0164)	0.0602*** (0.0156)	0.0480*** (0.0160)
Medium tech manufacturing	0.0645*** (0.0110)	0.0644*** (0.0111)	0.0718*** (0.0112)
Primary and resource-based	0.0945*** (0.0128)	0.0905*** (0.0129)	0.0835*** (0.0133)
<i>Panel B: MNE_{ext} share</i>			
High tech manufacturing	0.0674*** (0.0156)	0.0513*** (0.0144)	0.0375*** (0.0138)
Medium tech manufacturing	0.0485*** (0.0094)	0.0458*** (0.0088)	0.0534*** (0.0076)
Primary and resource-based	0.0307*** (0.0101)	0.0281*** (0.0089)	0.0254*** (0.0078)
<i>Panel C: MNE_{dom} share</i>			
High tech manufacturing	0.0037 (0.0062)	0.0089 (0.0068)	0.0105 (0.0076)
Medium tech manufacturing	0.0159*** (0.0061)	0.0186*** (0.0069)	0.0184** (0.0084)
Primary and resource-based	0.0637*** (0.0115)	0.0624*** (0.0107)	0.0580*** (0.0107)
Origin FE	✓		
Destination FE	✓		
Year FE	✓		
Origin × year FE		✓	
Destination × year FE		✓	
Origin × dest. × year FE			✓
Observations	1,830,105	1,829,879	1,828,275
*** p<0.01, ** p<0.05, * p<0.1			

Table A.6: Stylized Fact 4. Parent-level regression of ln export value on global network size (number of affiliates), with headquarters-country fixed effects and network-breadth controls.

	(1)	(2)	(3)
<i>Dependent variable: ln parent export value</i>			
ln global affiliates	0.532*** (0.017)	0.491*** (0.020)	0.411*** (0.037)
ln countries of presence			0.295*** (0.058)
ln sectors of presence			-0.099 (0.077)
HQ-country fixed effects		✓	✓
Observations	12,365	12,341	12,341
<i>Notes.</i> Parent level; foreign MNEs with a network record. Robust (HC1) SE. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.			

Table A.7: Stylized Fact 5. Multinational presence measured by MNE value share.

	(1)	(2)	(3)
<i>Panel A: all exports (ln)</i>			
MNE value share	0.5122*** (0.0334)	0.5119*** (0.0333)	0.2067*** (0.0206)
Origin FE	Yes	No	No
Destination FE	Yes	No	No
Product FE	Yes	Yes	No
Year FE	Yes	No	No
Origin $\times$ year FE	No	Yes	No
Destination $\times$ year FE	No	Yes	No
Origin $\times$ dest. $\times$ product FE	No	No	Yes
Origin $\times$ dest. $\times$ year FE	No	No	Yes
Observations (all exports)	1,829,852	1,829,626	1,633,319
Origin-destination-product-year cells; dep. var. ln all exports; presence = MNE value share; cluster OD. SE clustered as noted. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$			

Table A.8: Stylized Fact 6. Foreign vs domestic multinationals, each further split by network presence at the destination.

Dep. var.: ln exports	(1)	(2)	(3)	(4)
ln distance	-0.1642*** (0.0454)	-0.1850*** (0.0460)	-0.1636*** (0.0452)	-0.1844*** (0.0459)
ln distance $\times$ foreign MNE	0.0456*** (0.0040)	0.0453*** (0.0039)		
ln distance $\times$ foreign MNE, present			0.0666*** (0.0063)	0.0658*** (0.0062)
ln distance $\times$ foreign MNE, not present			0.0399*** (0.0037)	0.0397*** (0.0037)
ln distance $\times$ domestic MNE	0.0552*** (0.0061)	0.0544*** (0.0061)		
ln distance $\times$ domestic MNE, present			0.0870*** (0.0271)	0.0842*** (0.0270)
ln distance $\times$ domestic MNE, not present			0.0508*** (0.0057)	0.0503*** (0.0058)
Origin FE	✓		✓	
Destination FE	✓		✓	
Year FE	✓		✓	
Origin $\times$ year FE		✓		✓
Destination $\times$ year FE		✓		✓
Product FE	✓	✓	✓	✓
Observations	5,081,547	5,081,360	5,081,547	5,081,360
Foreign vs domestic multinationals, each split by presence at the destination. Firm $\times$ origin $\times$ destination $\times$ product $\times$ year; non-MNE flows the omitted base. Fixed effects as indicated (✓). SE clustered at origin-destination. *** p<0.01, ** p<0.05, * p<0.1				

Table A.9: Stylized Fact 6. As the previous table, with foreign-MNE presence at the destination split into presence through headquarters vs through an affiliate.

Dep. var.: ln exports	(1)	(2)	(3)	(4)
ln distance	-0.1642*** (0.0454)	-0.1850*** (0.0460)	-0.1636*** (0.0452)	-0.1844*** (0.0459)
ln distance $\times$ foreign MNE	0.0456*** (0.0040)	0.0453*** (0.0039)		
ln distance $\times$ foreign MNE, present (HQ)			0.0628*** (0.0154)	0.0613*** (0.0156)
ln distance $\times$ foreign MNE, present (affiliate)			0.0672*** (0.0057)	0.0665*** (0.0057)
ln distance $\times$ foreign MNE, not present			0.0399*** (0.0037)	0.0398*** (0.0037)
ln distance $\times$ domestic MNE	0.0552*** (0.0061)	0.0544*** (0.0061)		
ln distance $\times$ domestic MNE, present			0.0870*** (0.0271)	0.0842*** (0.0270)
ln distance $\times$ domestic MNE, not present			0.0508*** (0.0057)	0.0503*** (0.0058)
Origin FE	✓		✓	
Destination FE	✓		✓	
Year FE	✓		✓	
Origin $\times$ year FE		✓		✓
Destination $\times$ year FE		✓		✓
Product FE	✓	✓	✓	✓
Observations	5,081,547	5,081,360	5,081,547	5,081,360
Foreign-MNE presence split into HQ vs affiliate in the destination. Firm $\times$ origin $\times$ destination $\times$ product $\times$ year; non-MNE flows the omitted base. Fixed effects as indicated (✓). SE clustered at origin-destination. *** p<0.01, ** p<0.05, * p<0.1				